



**“Never spend
your money
before you have
earned it.”**

Thomas Jefferson, 3rd US president

✓ NEED TO KNOW

- › **Revenue** is the total amount of money taken by a business over a specified period of time.
- › **Profit** is the amount of money remaining after expenses/payables have been paid.
- › **Retained earnings** is money kept in the business to support growth.
- › **Dividends** are earnings from the company that are paid to owners or shareholders (typically annually) in the form of cash or shares.

YOUR REQUIRED INCOME

Figuring out what you need to earn is similar to determining what the business requires in terms of costs. Personal spending usually falls into the following categories:

DAILY LIVING COSTS	Groceries	Transportation	Clothing
HOUSING	Mortgage/ rent	Insurance	Maintenance
UTILITIES	Electricity	Water	Telephone
EXISTING DEBT	Personal loan	Credit card	
ENTERTAINMENT	Vacations	Eating out	Subscriptions
SAVINGS	Pension	Emergency fund	

Estimate how much you typically spend, and consider where savings can be made. Be realistic about how much you have to spend, rather than how much you currently do. Many banks have online forms that can help you itemize your expenses.

